

## Balance of payments

The balance of payments is a summary record of all economic transactions between the residents of a country and the rest of the world, during a period of time. Thus, it records the money value of the flows of goods and services between countries, purchases and sales of assets of all kinds and payments made or received from the rest of the world. Receipts of money from abroad are regarded as credits and are entered in the accounts with a positive sign. Outflows of money from the country are regarded as debits and are entered with a negative sign.

Balance of payment accounts are divided in to two broad parts. One part deals with the payments for goods and services, incomes (primary income) and transfers (secondary income). This is known as current account. The other part records transactions in assets and is known as capital and financial account.

### **The current account:**

**Trade in goods:** Goods are tangible, like wheat and steel and cars. There are hundreds of different items that fall under this category. Oil is one of the biggest, especially given that the UK has been a net exporter of oil for the last 20 years. All manufactured goods are included, like cars, all household appliances, computers and semi-manufactures which are items that have not quite become finished manufactures. Car parts might be an example. All raw materials that are needed for any production process are also included, as are all food items.

**Trade in services:** Previously investment income and transfers were all lumped in together in the invisibles section. The current account only had two sections: Visible and invisible. Trades in services are now a separate section. Services are purchases and sales of intangible items. You don't have to ship them and you can't store them.

In abroad sense services are products other than physical goods.

Good examples include financial services (e.g. banking and insurance), transport services (particularly shipping), law, accountancy, management consultancy and tourism. If a British person goes on holiday to France flying with Air France, all payments will count as imports because the money flows out of the UK (-). The payment for the flight goes back to France, and any money actually spent on food, drink and hotels ends up in France.

The balance of exports and imports of goods is called the balance of trade in goods and the balance of exports and imports of services is called the balance of trade in services. The sum of these balances is called the balance of trade. If the balance of trade is

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positive, it is said to be in surplus which means that the exports of goods and services are greater than the imports. On the other hand if the balance of trade is negative, it is said to be in deficit which means that the imports of goods and services exceed the exports.

**Incomes account:** Income covers two types of transactions between residents and non-residents: (i) those involving compensation of employees, which is paid to nonresident workers or received from non-residents employers and (ii) those involving investment income receipts and payments on external financial assets and payable by residents of one economy to residents of another economy. It includes interest, dividends, remittances of branch profits, and direct investors' shares of the retained earnings of direct investment enterprises.

Payments to us from foreigners that are interest on loans that we made to them, profits from physical capital (like factories) owned by our citizens in foreign countries, and income received by our workers from foreign employers requires that foreigners make payments to us and so takes a plus sign.

Payments by us to foreigners that are interest on loans to us or profits from physical capital that they own in our country, and income paid to foreign workers requires that we make payments to foreigners' so takes a minus sign.

Net flows of incomes are recorded in the account i.e. inflows of incomes minus outflows of income.

### **Transfers**

Official transfers are government-to-government payments, though some may go through international agencies like United Nations. This can be termed "aid" of various kinds; when the United States, for example, got large payments from Japan and other countries to defray costs involved in the Gulf War, those represented large positive official transfers in the U.S balance of payment. For only a few countries, however, are official transfers likely to be significant part of the overall balance of payments

The current account balance is the sum of the balances of all the three accounts i.e. the balance of trade in goods and services, the incomes balance and the balance of transfers. If the current account balance is positive then it is said to be in surplus which shows the inflows of currency exceed the outflows of currency. On the other hand if the current account balance is negative then it is said to be in deficit which shows the outflow of currency exceed the inflows. The current account balance shows whether the BOP is said

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to be in surplus and if the current account is in deficit then the BOP is said to be in deficit.

### The capital and financial account:

The capital records the flows of funds, into the country (credits) and out of the country (debits), but the government as well as the private sector. It includes the inflows and outflows of money as a result of buying and selling of fixed assets such as land. It also includes the flows of funds by the migrants and the payment of grants by the government for the overseas projects.

The financial account covers all transactions, including the creation and liquidation of financial claims, associated with change of ownership in international financial assets and liabilities. It is made up of four elements: direct investment, portfolio investment & other investment.

- **Direct investment:** This refers to money that flows across national boundaries' for the purpose of investing in a business enterprise. Essentially, it records the transfer of ownership of domestic or foreign businesses. It also records money invested abroad for a new business venture. When Marks and Spencer build a new store in, say, Hong Kong, this will count as an outflow of money from the UK (-) in the direct investment section of the capital account.
  - When our residents buy ownership stakes in foreign firms from foreigners, they have to make payments to those foreigners, so that will take a minus sign.
  - When our residents sell ownership stakes in foreign firms to foreigners, those foreigners have to make payments to us, so that takes a plus sign.

**Immediate & subsequent effect:** Note that earnings from these investments (profit) appear in the income section of the current account. The initial investment by M & S in Hong Kong will appear as outflow of money from the UK (-) in the capital account, but each subsequent year M & S should make profits. These will appear as inflows of money into the UK (+) in the investment income section of the current account.

- **Portfolio investment:** This is money that flows national boundaries for the purpose of investing in **share and bonds**. If someone in the domestic economy buys some shares in an American company, this will count as an outflow of money from the domestic economy (-) in the portfolio investment section of the capital account. If

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an American buys some shares in a British company, this will count as an inflow into the UK (+) in the same section.

- When our residents buy foreign securities, we have to make payments to foreigners, so this will take a minus sign.
- When they sell those securities, foreigners have to make payments to us, so that takes a plus sign.
- When foreigners buy securities; they have to make payments to us, so that will take a plus sign.
- When foreigners sell those securities, we make payments to them, so that will take a minus sign.

**Immediate & subsequent effect:** Again, note that the earnings from these share and bonds (dividends and interest) will appear, in subsequent years, in the investment income section of the current account. For as long as the domestic citizen holds onto the American share, he will receive an annual dividend, which will represent an inflow of money-making in to the domestic economy (+) on the investment income section of the current account.

**Net errors and omissions:** The balance of payments always balances, so, theoretically, the net errors and omissions item should always equal zero. That it rarely does reflects the fact that it is very difficult to collect all of the data required for the balance of payments in a totally accurate fashion. Millions of pieces of information have to be collected from around the world. There is often a time lag as well. It is interesting to note that when past figures for the balance of payments are revised as time passes, the figures for 'net errors and omissions' get smaller as the errors are found and corrected.

**Reasons for deterioration in current account deficit:** A current account deficit occurs when the sum of the balance of trade in goods and services, the balance of incomes, and the balance of transfers is negative. The following are the reasons for the current account deficit:

1. **Higher levels of domestic income or lower foreign income:** Higher growth in domestic income means higher levels of consumer spending. Therefore, this will lead to an increase in imports causing a worsening effect on the balance of trade position. On the other hand if the income levels in other countries fall, they will reduce the demand of our goods causing a fall in our exports causing the balance of trade to reduce.

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2. **Appreciation in the exchange rate:** This causes exports to be more expensive in terms of foreign currency and imports to be cheaper in terms of our currency. Therefore quantity of exports fall and the quantity of imports rise. However, the effect depends on the elasticity of demand. If demand is inelastic, then more expensive exports will have little impact on reducing quantity and a relatively smaller increase in the quantity of imports.
3. **Loss of competitiveness due to reduced productivity or lower quality:** If exports become less competitive, due to lower productivity or poor quality then demand for exports fall. This is likely to explain a long term deficit. It has occurred to a large extent in the UK because of globalization. E.g. the UK has lost comparative advantage for the manufacture of many goods to Asian countries like China.

### Does a current account deficit matter?

1. If a current account deficit is financed from long term capital inflows then this can be beneficial for the economy. Inward investment can increase the productive capacity of the economy.
2. In an era of globalization it is much easier to attract sufficient capital flows to finance the deficit
3. If the deficit gets too large it will cause a devaluation which helps to reduce the deficit. Also when there is a slowdown in consumer spending the deficit will fall.
4. Deficits do not matter if the excess of imports is financing future economic growth. Imports of capital goods may increase the trade deficit in the short run, but there will be longer term benefits in terms of increased domestic production and exports.
5. The main argument for not worrying about the current account deficit is that if a country manages to attract sufficient amount of foreign investments into the domestic economy, it will counter the deficit in the current account.

### Problems of a current account deficit:

1. **Depreciation in exchange rate:** Because more money is leaving than coming in, it tends to put downward pressure on the exchange rate.
2. **Country becomes dependent on external finance:** A large current account deficit means that the economy needs to attract sufficient capital flows to finance the current account deficit. This might involve long term capital investment (e.g. building factories). Or it might be short term capital flows. If it is financed by

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capital flows, it can create vulnerability in the economy. It can also create upward pressure on interest rates to attract the necessary capital flows.

3. **Depletion of foreign currency reserves:** A deficit on the current account can be financed by drawings from the foreign currency reserves but persistent deficits will ultimately lead to the exhaustion of these reserves which will hamper growth and development of the economy.

**Balance of payments policies:** The policies which a government adopts to correct the BOP deficit will depend on many factors including the type of ER system. Policy measure is associated with the fixed ER system because in the floating ER system, the ER adjusts itself bring the equilibrium in the BOP.

Countries adopt two types of policies to correct the BOP deficits. These are (a) the expenditure switching policies and (b) expenditure reducing measures.

1. **Expenditure switching policies:** It targets to switch the expenditure of domestic residents from imported goods to domestically manufactured goods, the effectiveness of this policy will depend on price elasticity of demand.

**Import controls:** If a country levies tariffs (a tax on imports) on various imports, then their prices will rise relative to the home produced goods and so the demand for imports should fall and switch to domestically produced goods. This will be good for domestic producer as well as helping the current account deficit to fall. The foreign firm could absorb the cost if the tariff take a cut in profits and not raise their price, but this is not a long term solution for them, tariffs generally cause import prices to rise.

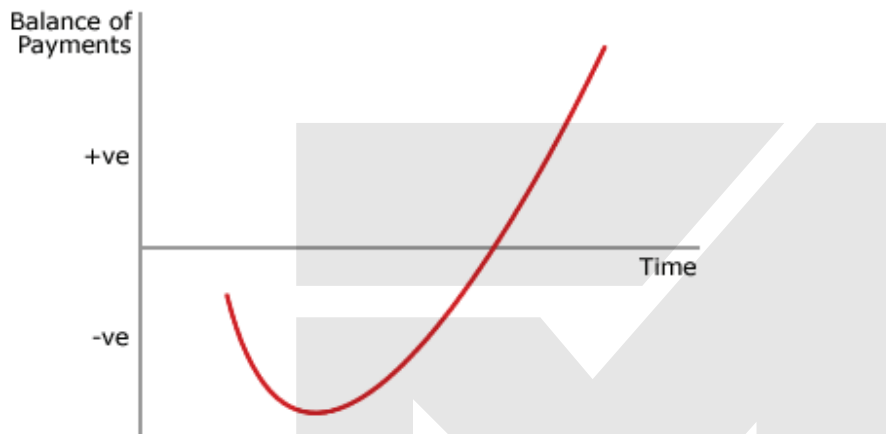
Tariff is a tax on imported goods; it increases revenue for the government when the demand for imported goods is inelastic. Government will be successful in achieving its target of reducing imports, if demand for imports will be elastic i.e. a small change in price will bring a larger percentage change in quantity demand, so it all depends on price elasticity of demand.

**Devaluation:** It is the deliberate reduction in the exchange rate value of a currency by the monetary authorities against the foreign currency. This will make exports cheaper in terms of foreign currency and imports expensive in terms of home currency.

The impact of devaluation on the current account depends on how much the demand for imports and exports change. That depends on the price elasticity of demand for imports and exports.

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The Marshall-Lerner condition says that if the sum of the price elasticities for imports and exports is greater than 1, then the BOP will improve. The evidence for the UK suggests that the condition holds in the long-run but not in the short-run. This will mean that when the currency is devalued, the BOP will initially deteriorate, but in the long run it will improve. This gives what is known as a J-curve effect. This effect is shown below.



The effect occurs because it will take time for the exchange rate changes to be factored in by decision makers – contracts will have been signed for example, which will not immediately reflect any change in the exchange rate.

There are other factors which influence the effectiveness of devaluation as a remedy for BOP deficit. It will be favorable if major rivals do not devalue their own currency in retaliation (parallel reaction).

**Subsidies:** The above two expenditure switching policies are likely to result in retaliation. Government can provide subsidies, it's a grant or a cash payment given by the government to the producers to encourage them to produce more, this reduces their cost of production and encourages them to supply more. An increased supply reduces the price level and therefore makes our goods competitive in the international market and thus resulting in increased exports.

**Important:** Expenditure switching policy is likely to solve the issue of balance of payment deficit, considering demand to be elastic. Along with this concern government is also able to achieve another macroeconomic objective that is full employment. Since the demand has shifted from imported to domestic, aggregate demand will increase, creating multiplier effect and the deflationary gap is likely to reduce and there will be a rise in employment,

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but there can be a concern if the deflationary gap is low, expenditure switching policy is likely to achieve the objective of correcting BOP deficit but it will conflict with the objective of price stability. Since there will be a rise in aggregate demand, and the deflationary gap is low, this will rise the price at faster rate than the rise in real income.

2. **Expenditure reducing policies:** It targets to reduce the expenditure of domestic residents on imported goods, this means reducing aggregate demand. The effectiveness of the policy will depend on the proportion of income spent on imported goods.

On the **fiscal policy** side the government could increase taxes or reduce government spending/public expenditure. An increase in taxes will reduce the after tax income of the consumers causing the demand for goods and services to fall leading to a fall in imports demand as well. It might also lead to an increase in exports as domestic firms find it more difficult to sell in the domestic market and make greater efforts to sell in foreign market. It is important to note that this policy might not be effective to larger extent as reducing the disposable income of the individual might reduce the demand for imports but also for domestic goods due to less income. This will bring downward multiplier effect in the economy i.e. fall in income, output and employment.

**Important:** This explains that using expenditure reducing (dampening) policy, government will be able to achieve the objective of correcting BOP deficit, and along with that it will be able to control inflation, since there will be fall in aggregate demand but there will be a conflict with the objective of full employment since a fall in aggregate demand will create a rise in unemployment

On the **monetary policy** side, interest rates could be raised. This will reduce the borrowings of money from the banking sector causing the demand and hence imports to fall. An increase in interest rate will encourage individuals to save more rather than spend. Firms due to increase in cost of borrowing are unlikely to borrow, so fall in consumption and investment, again this policy might not be useful as this will also be having negative effects on the domestic economy

